

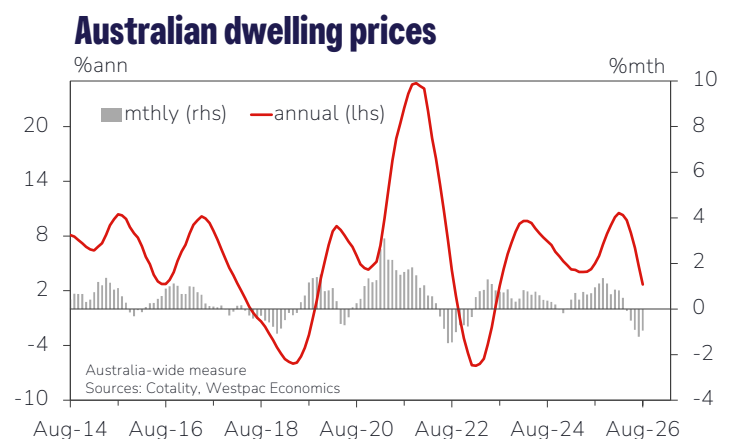
1 August 2026

AUSTRALIAN DWELLING PRICES BULLETIN

Correction in full swing

Key points

- The Cotality home value index – covering all of Australia – fell 0.9% in August following downwardly-revised 1.2% and 0.9% declines in July and June. Annual growth slowed to 2.7%yr. Prices nationally are now 3.6% below their peak in March.
- Declines continue to become more widespread with Cotality reporting 93% of capital city suburbs have recorded falls. Across the major cities, prices declined 1.4% in Sydney, 1.1% in Melbourne, 1% in Brisbane, with Perth and Adelaide both recording slightly milder 0.8% falls. Sydney and Melbourne continue to see more pronounced declines with prices now down 4.6%yr and 4.7%yr respectively.
- Preliminary estimates show the number of sales, in rolling 3mth terms, down 6.3%qtr and 15.2%yr.



**August Cotality
home value
index: -0.9%**mth**;
+2.7%**yr****

Correction deepens, 'air pocket' risks intensify



Matthew Hassan
Head of Australian Macro-Forecasting

The Cotality home value index, covering all of Australia, fell 0.9% in August with downward revisions to the previous two months shaving a further 0.7% off prices. The correction has now seen prices decline 3.6% from their March peak. Annual growth has slowed to 2.7%yr.

The detail shows the price correction is becoming more widespread, Cotality reporting 93% of capital city suburbs experienced falls in recent months. Sydney and Melbourne continue to see more pronounced declines, albeit with the latest month suggesting the pace of declines is no longer accelerating. In contrast, price corrections look to have accelerated slightly in most other cities and regional areas. Across segments, unit prices and lower price tiers continue to track slightly milder falls than houses and top tiers.

Note that seasonal variations have accentuated the price weakness through the winter months. The cumulative 3.1% decline over Jun-Jul-Aug is trimmed to 2.5% in seasonally adjusted terms. This slight seasonal headwind typically turns into a slight tailwind through Sep-Oct-Nov. Unless specified, figures in titles, tables and the commentary below are in non-seasonally adjusted terms, consistent with the 'headline' figures reported by Cotality. However, figures shown in charts are in seasonally adjusted terms.

Preliminary estimates of turnover show rolling 3mth volumes down 6.3%qtr in August and 15.2%yr. Cotality have upgraded the process used to estimate the most recent monthly sales, which used to be prone to upward revisions. Interestingly, estimates for the Jul and Aug months point to small rises in seasonally adjusted terms, following a big fall in the Jun month. Other evidence from home loan enquiries also suggests volumes may be stabilising at a low level. The stabilisation picture is clearest in the Sydney and Melbourne markets.

Looking at the price performance across different jurisdictions:

- **Sydney** again recorded the largest monthly decline, prices down 1.4% in Aug after a downwardly revised 1.8% drop in Jul. Even allowing for seasonality, the last 3mths has seen prices tracking a 15-20% annualised pace of decline. All segments and tiers recorded falls but with top and middle tier houses still tracking a faster pace of decline.
- **Melbourne** prices declined 1.1% mth, previous months also revised down slightly. Prices are down 4.7%yr and closing in on a 3½yr low in level terms. 'Top tier' house prices are also leading the way but relativities are wider across tiers with prices even holding steady for 'low tier' units. Remarkably, prices market-wide have seen no net gain since mid-2021, and have only just kept pace with inflation since 2015.

Cotality home value index: August 2026

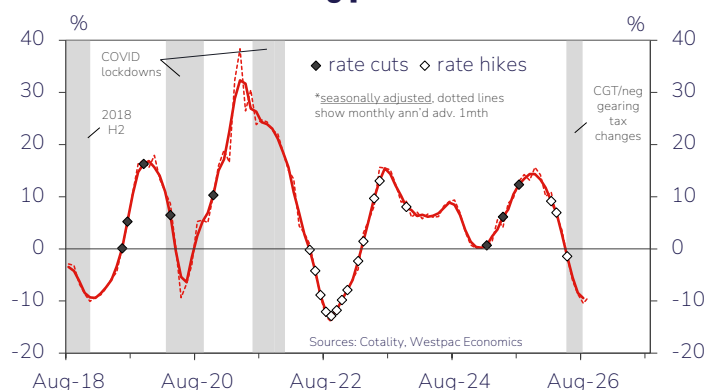
	%mth				%ann			
	May	Jun	Jul	Aug	May	Jun	Jul	Aug
Australia*	-0.5	-0.9	-1.2	-0.9	8.4	6.7	4.7	2.7
seas. adjusted	-0.5	-0.8	-0.9	-0.8	8.4	6.8	4.7	2.7
- houses	-0.5	-1.0	-1.3	-1.1	9.0	7.2	5.1	2.9
- units	-0.4	-0.7	-1.0	-0.5	5.9	4.8	3.2	2.0
Major capital cities								
Sydney	-1.3	-1.5	-1.8	-1.4	2.2	0.1	-2.3	-4.6
Melbourne	-0.9	-1.4	-1.5	-1.1	0.7	-1.2	-3.1	-4.7
Brisbane	0.0	-0.6	-1.2	-1.0	18.1	16.2	13.6	10.8
Adelaide	0.5	-0.2	-0.6	-0.8	12.2	11.6	10.3	8.6
Perth	-0.1	-1.1	-1.3	-0.8	23.9	21.3	18.3	15.6
Turnover^	-2.5	-5.3	-7.7	-6.3	-5.6	-12.2	-16.2	-15.2

* Australia-wide measure, covering both capital cities and regional areas.

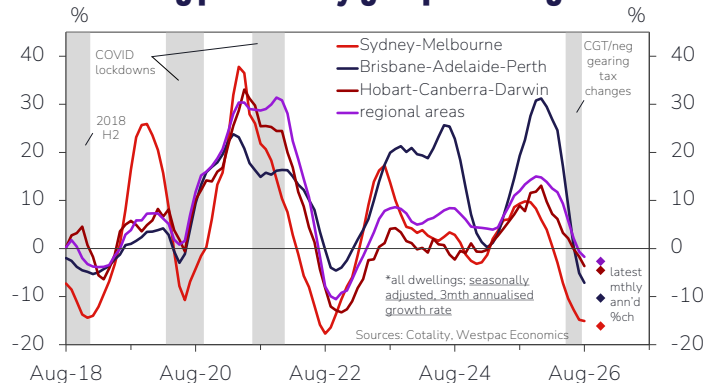
Sources: Cotality, Westpac Economics.

^ rolling 3mth total, %3mth and %ann ch, seasonally adjusted by Westpac.

Australian dwelling prices: 3mth ann'd



Dwelling prices: city groups and regional areas



- **Brisbane** prices fell 1% in Aug with Jul's 0.6% decline marked down to -1.2% and Jun's 0.3% gain revised down to a 0.6% fall. The combined effect has taken the rolling 3mth change to -2.7%qtr from a relatively mild previous estimate of -0.6%qtr in Jul. At 10.8%yr, annual growth is still solidly positive but will fall sharply from here. The detail continues to show relatively uniform declines across tiers and dwelling types. Sales volumes are falling rapidly, tracking a 13%qtr pace and down 24%yr. This is driving a rapid shift in what was still an extremely tight market at the start of the year.
- **Adelaide** dwelling prices declined 0.8%moth, annual growth moderating to 8.6%yr. The price correction only began in May and remains noticeably milder. That said, declines accelerated through Jun-Jul and are becoming more widespread with all sub-markets now seeing some slippage.
- **Perth** also recorded a 0.8% decline but with previous months marked down sharply (July from flat to -1.3% and June from -0.5% to -1.1%). At 15.6%yr, annual price growth is still strongly positive but set to drop quickly from here. As with Adelaide, the detail is also showing price slippage across all sub-markets. The sales-listings balance is also seeing a sharp whipsaw similar to Brisbane's.
- The smaller capitals were again more mixed, price growth still positive in Darwin (0.6%moth, 14.6%yr), relatively resilient in Hobart (-0.2%moth, 8.1%yr) but weaker in Canberra (-1.1%moth, -0.4%yr).

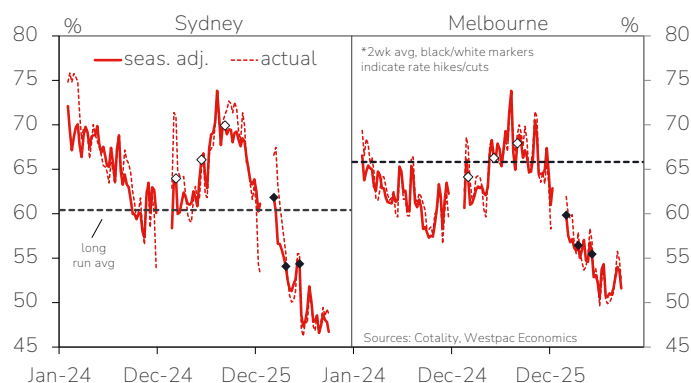
- **Regional markets** showed 0.5% declines in NSW Victoria, and Queensland (which includes the Gold and Sunshine Coasts). Annual prices growth remained in positive though, in the 4-5%yr range in NSW and Victoria, and closer to 9%yr in regional Queensland.

Overall, the Aug update shows the price correction is tracking more quickly and broadening. While seasonality is accentuating the shift a little and sales volumes are showing some tentative signs of stabilising at low levels this needs to be set against a pattern of downward revisions that has seen previous price estimates revised significantly lower.

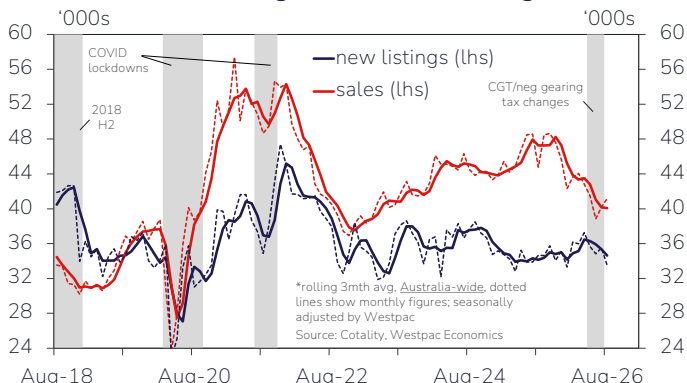
As we noted last month, momentum has become the dominating factor. Seasonal effects will turn positive in coming months but, on their own, these are unlikely to act as a 'circuit breaker'. Likewise, even with a stabilisation in sales volumes, the pull back has caught some sellers on the hop with total on-market listings rising sharply meaning buyers will have the upper hand in most markets heading into Spring.

That all points to a clear risk that we see some 'overshoot' to prices near term, especially if this mix coincides with any additional interest rate increases (still not our base case). How current weakness and the path of interest rates – both actual and expected moves either way – impacts sentiment will be a key area to watch from here, and will likely determine whether conditions stabilise or we see another leg lower in the correction.

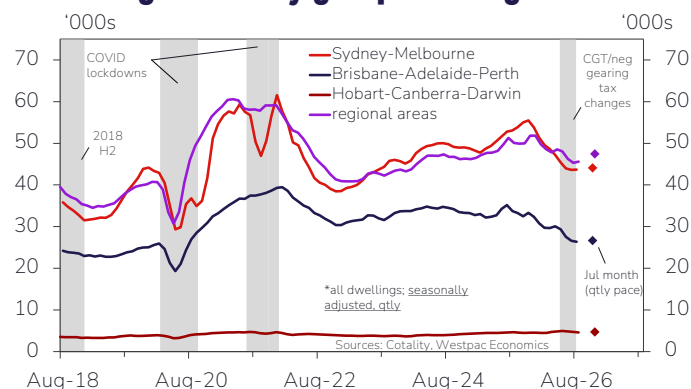
Auction clearance rates



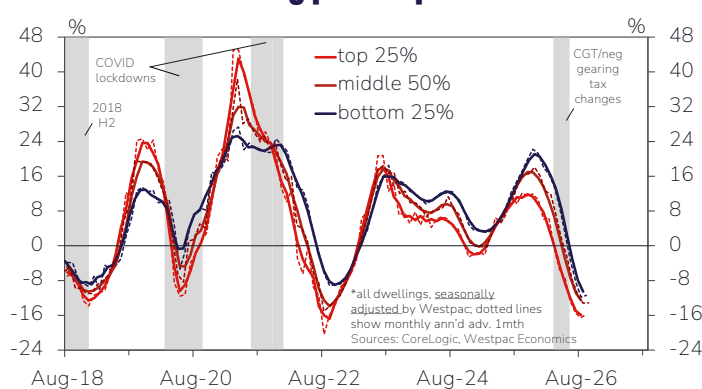
Australian dwellings: sales and listings



Dwelling sales: city groups and regional areas

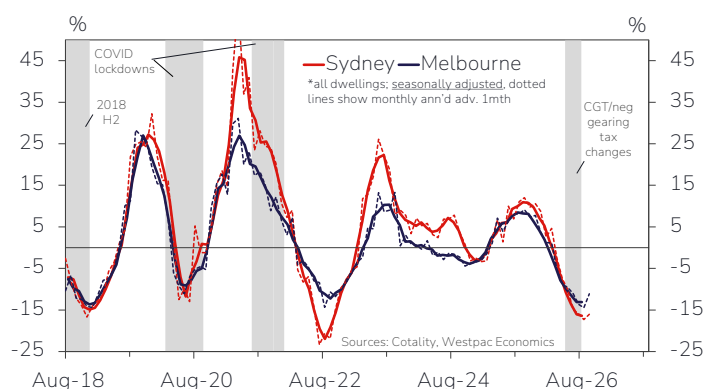


Australian dwelling prices: price tiers

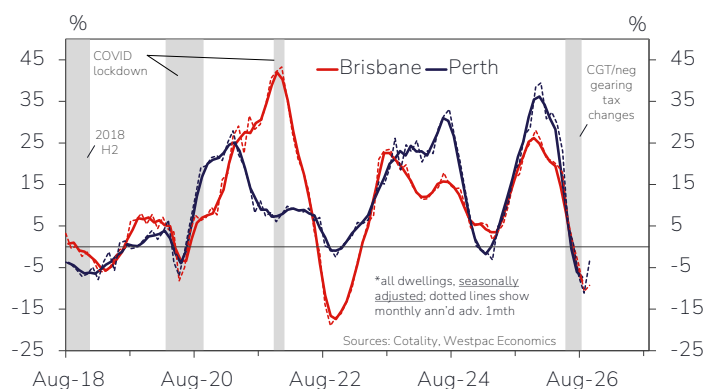


Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

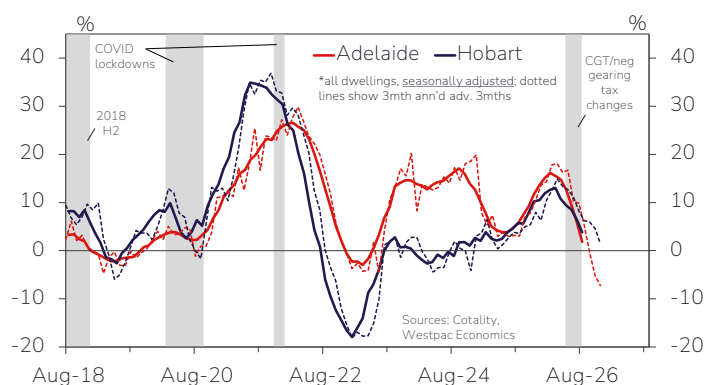
Sydney, Melbourne dwelling prices: 3mth ann'd



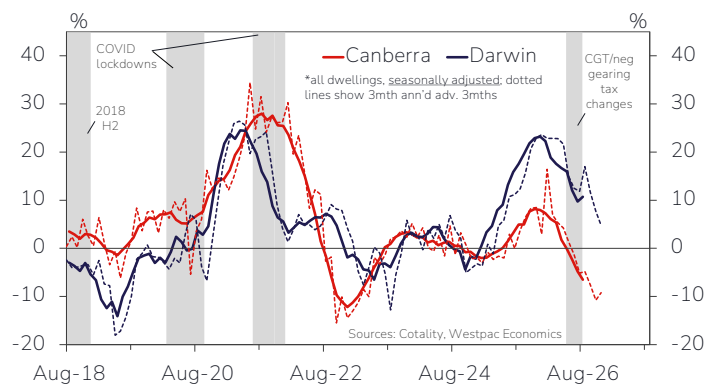
Brisbane, Perth dwelling prices: 3mth ann'd



Adelaide, Hobart dwelling prices: 6mth ann'd



Canberra, Darwin dwelling prices: 6mth ann'd



Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.



Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know

We respect your privacy: You can view the [New Zealand Privacy Policy here](#), or the Australian [Group Privacy Statement here](#). Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential

conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access [Westpac’s Financial Services Guide here](#) or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Disclaimer continues overleaf ►

Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ("WCM"), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106).

Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2) of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found [here](#). Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.